

Contoso Corp Compensation and Pay Practices Policy

Pay Grades and Structure

Every role at Contoso is assigned to a pay grade based on scope, required skill, and market benchmarking, reviewed annually by the Compensation team. Pay grade determines the base salary range for a role but not the specific salary within that range, which reflects experience and performance.

Pay Frequency and Pay Days

Employees are paid semi-monthly, on the 15th and last business day of each month, by direct deposit. Pay statements are available in the HR system on the morning of each pay day.

Overtime Eligibility

Non-exempt employees are paid 1.5 times their regular hourly rate for hours worked beyond 40 in a work week. Overtime must be pre-approved by a manager except in genuine emergencies, and unapproved overtime is still paid but may be addressed as a performance matter.

Annual Merit Increase Process

Base salary increases are considered once per year, following the December performance review cycle, and are effective with the first full pay period of the new calendar year. Increase amounts reflect performance rating, position within the pay range, and the year's overall compensation budget.